MY DIGITAL ACADEMY

Week 2 - Task 2 - Assignment - Business Stream

Expanding Bank Mandiri's Digital Banking in Bandung City

Hi!

Alifa Raida Alamsyah
Business Stream 1

My name is **Alifa Raida Alamsyah** from **Business Stream 1.** I am a fresh graduate from Bachelor of Mathematics of Universitas Padjadjaran. I am a fast-learner person who thrives for new challenges and opportunities for continuous growth. I hope to gain a lot of valuable knowledge and experience through this MDA program, which will be an important foundation for my future career journey.

Overview of the Presentation :

1. **Introduction**
   - Objective of this proposal, city chosen
2. **Regional Overview**
   - Basic facts, economic significance, key industries, financial hubs, digitalization in Bandung City
3. **Banking Challenge**
   - Banking gaps, why is it important
4. **Geographic & Market Potential Analysis**
   - High-density & underserved areas, number of branches and ATMs, financial gaps
5. **Economic & Industry Factors**
   - Income levels, employment rates, MSME density, Sectors that rely on financial services, financial needs
6. **Socio-cultural & Customer Behaviour Insights**
   - Economic digitalization in Bandung City
7. **Competition & Business Environment Analysis**
   - Key financial players, bank comparison, service gaps
8. **Product Fit & Recommendation**
   - Product fit, expected financial impact
9. **Strategic Recommendation & Action Plan**
   - How Bank Mandiri should enter, marketing & engagement strategies, project development roadmap
10. **Conclusion**
    - Summary of findings, future recommendations, final thoughts

Introduction

Objective

The purpose of this proposal is to expand Bank Mandiri's digital banking services in Bandung City by optimizing digital platforms such as Livin' by Mandiri, Livin' Merchant, and Kopra. This expansion will, in turn, strengthen economic growth in Bandung through MSMEs (Micro, Small, and Medium Enterprises), educational institutions, companies, and startups.

City Chosen (Bandung City)

The city I've chosen for analysis is Bandung, because here I was born and raised. Besides my personal reasons, Bandung is also a city with huge potential for development of digital banking services. With a large population, stable economic growth, and fast development in the MSME, trade, and industrial sectors, Bandung is a strategic city for Bank Mandiri to expand its digital services.

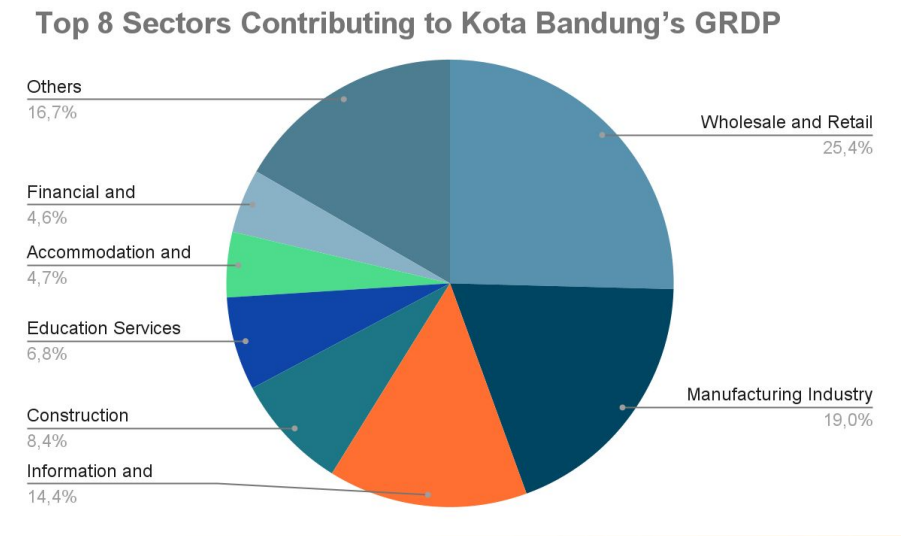
Regional Overview (City Profile)

The area of Bandung City is **167.31 km²** which is divided into **30 districts.**

Total population:
2.591.763 people

Population growth:
0,89%

Economic Significance in Bandung City:



Source: BPS Kota Bandung

Regional Overview (City Profile)

Key Industries

Area	Dominant Industry Sector
West Bandung	Trade, financial services, transportation, light manufacturing industry.
Central Bandung	Creative industries (design, games, fashion), tourism, culinary, education.
East Bandung	Manufacturing (textiles, food and beverages), logistics, real estate, new industrial areas.

- **West Bandung**: Andir, Bojongloa Kaler, Bojongloa Kidul, Babakan Ciparay, Bandung Kulon, Cicendo, Sukajadi, Sukasari, Cidadap
- **Central Bandung**: Sumur Bandung, Bandung Wetan, Astana Anyar, Regol, Lengkong, Cibeunying Kaler, Cibeunying Kidul, Coblong
- **East Bandung**: Antapani, Arcamanik, Batununggal, Buahbatu, Kiaracondong, Gedebage, Cinambo, Panyileukan, Mandalajati, Rancasari, Cibiru, Ujungberung

Source: Diskominfo Kota Bandung

Financial Hubs

1. Dago (Jl. Ir. H. Juanda)
2. Pasteur – Sukajadi – Setiabudi
3. Cihampelas
4. Braga
5. Buahbatu - Soekarno Hatta

Digitalization in Bandung City

- The Indonesian Digital Society Index (IMDI) score for Bandung City is 52.99 (classified as “Very High”).
- Bandung City’s Smart City Index is 3.93 (“Satisfactory” category), the highest among cities in Indonesia.

Banking Challenge in Bandung City

Banking Gap

- There are still quite many MSMEs in Bandung that continue to implement a cash-only payment system (especially in suburban areas), even though the use of QRIS nationwide has increased by 154.86%.
- The digital payment ecosystem for MSMEs (Micro, Small, and Medium Enterprises) and retailers is currently fragmented, meaning that there are many different platforms, applications, and payment methods available, but they often operate independently without seamless integration.
- Limited branches in suburban areas, even though the number of branches in Bandung reaches hundreds

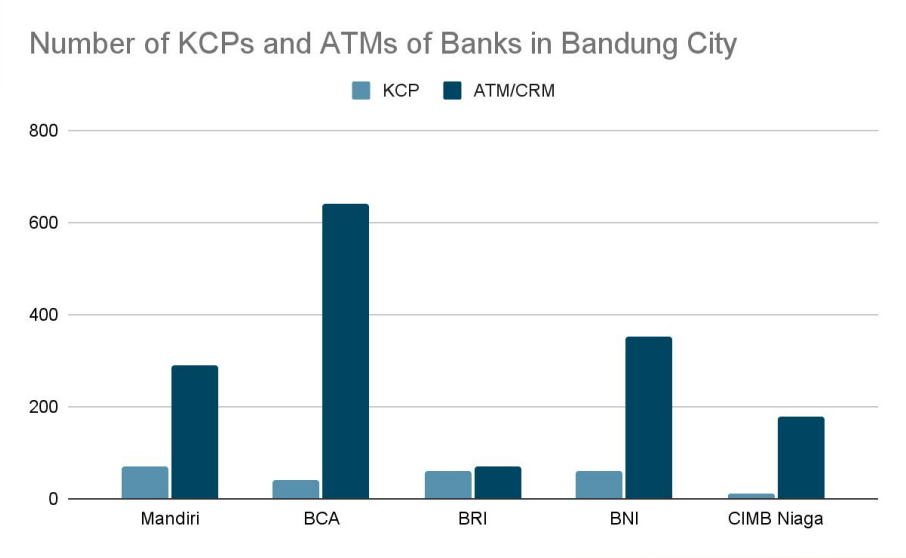
Why is It Important?

- Boost economic growth by improving transaction efficiency and MSMEs productivity.
- Enhance financial inclusion and reduce poverty.
- Provide safer, faster, and more convenient payment options that aligned with customer preferences.
- Support the expansion of Indonesia’s digital economy.

Geographic & Market Potential Analysis

High-Density and Underserved Areas

	Subdistricts/Areas
High Density Business	Central Bandung Area, Dago, Cicendo, Cidadap
Underserved Areas	Ujungberung, Rancasari, Buahbatu, suburban outskirts



Source: Google Maps, Bank Website

Geographic & Market Potential Analysis

Financial Service Gaps

Financial Service Gap	Description
Financial and Digital Literacy	The difference between knowledge and access to services, especially for MSMEs and low-income communities.
Undeserved MSMEs	Many micro and ultra-micro MSMEs have not yet been reached by digital financial services.
Access and Digital Literacy	Barriers in digital literacy and trust in fintech.
Infrastructure in Suburban and Outskirt Areas	Limited branches in suburban and outskirt areas.
Liquidity and Credit	Restrictions on credit growth that may hinder MSME financing.

Economic & Industry Factors

Income Levels

IDR 371,85 trillion

Gross Regional Domestic Product (PDRB) of Bandung City (2024)

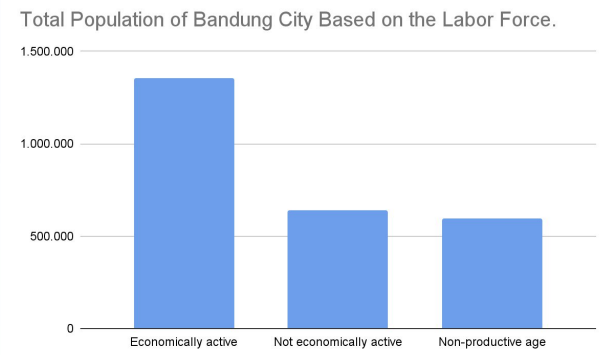
Grew by **4,99%** compared to 2023

IDR 12,3 million

The average monthly income of Bandung residents

… with a poverty rate of **3,87%** (one of the lowest among major cities in Indonesia).

Employment Rates



67,93%

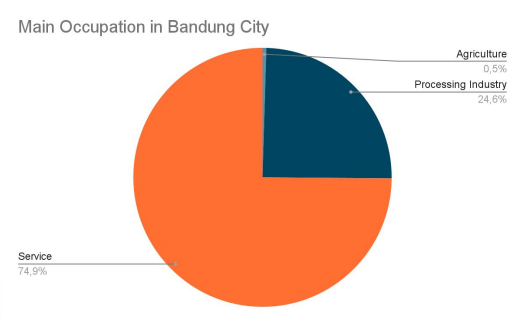
The labor force participation rates

7,40%

Unemployment rates

Main occupation in Bandung City are divided into three sectors:

1. Service
2. Processing Industry
3. Agriculture



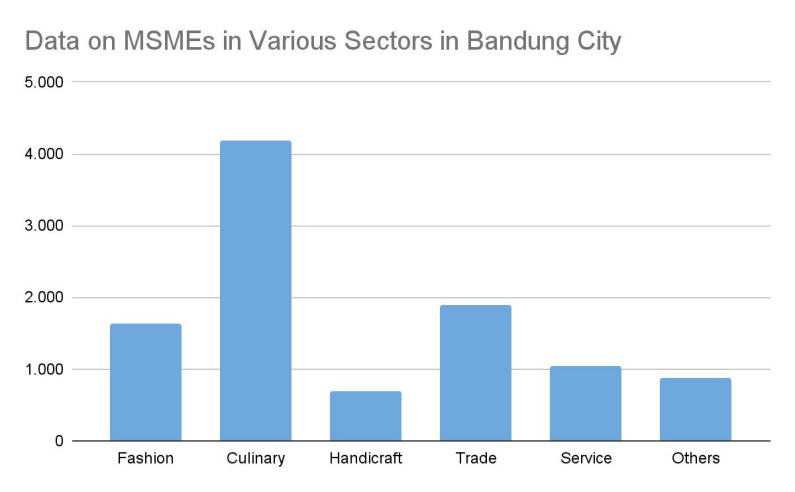
Source: BPS Kota Bandung

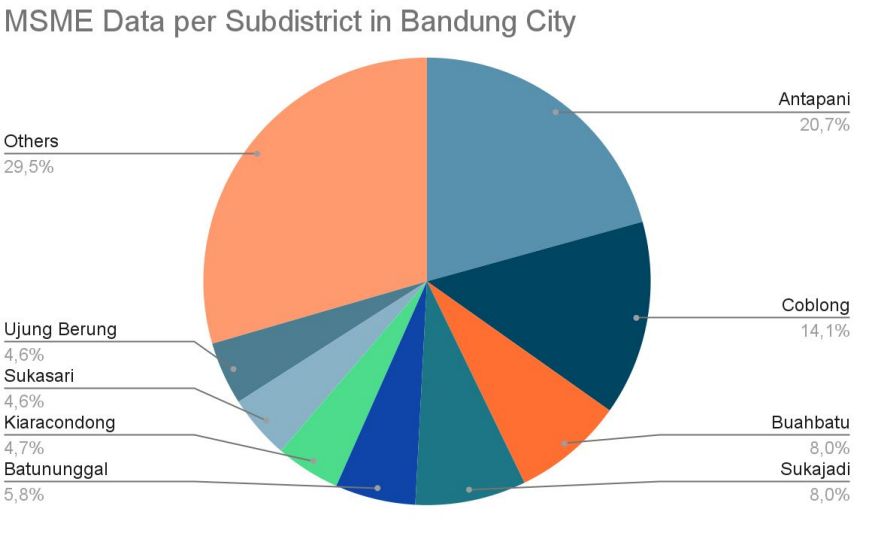
Economic & Industry Factors

MSME Density

Total MSMEs in Bandung City:

10.244 SMEs





The subdistricts with the highest number of MSMEs are **Antapani, Coblong,** and **Buahbatu.**

Source: Dinas Koperasi UKM Kota Bandung

Economic & Industry Factors

Sectors That Rely on Financial Services

1. Manufacturing: capital investment, operations, and trade financing
2. Tourism and Hospitality: infrastructure development, business expansion, and consumer transactions
3. Creative Industries: business development, innovation funding, and digital payment systems
4. Information and Communication Technology (ICT): funding innovation, infrastructure, and scaling technology businesses
5. Trade and Service: working capital, credit, and payment facilitation

Financing and Investment Needs

1. Rapid growth of MSMEs and their need for working capital and investment.
2. Manufacturing, trade, and services sectors that require financing for expansion and operations.
3. Support from banks and financial institutions that continuously increase credit distribution and innovative financial products.

Source: BPS Kota Bandung

Socio-Cultural & Consumer Behavior Insights

Home > News > Technology

Bandung City Government Accelerates Expansion of Transaction Digitalization

Tuesday, 21 November 2023

Writer: Diskominfo Kota Bandung | Reporter: Diskominfo Kota Bandung

888 times Viewed | 0 times Shared

Berita

Canggih! Pemkot Bandung Peringkat Satu Transaksi Digital Se-Jabar

Pemerintah Kota (Pemkot) Bandung saat ini menduduki peringkat satu sebagai pemerintah daerah yang menerapkan transaksi elektronik di Jawa Barat. Hal itu disampaikan oleh Deputi Kepala Perwakilan Bank Indonesia Jabar Jefri Dwi Putra, Selasa 9 Agustus 2022.

Humas Kota Bandung
Selasa, 09 Agustus 2022 16:49

Kota Bandung Terbaik Soal Indeks Literasi Ekonomi Digital, Karena Sering Transaksi Online?

Mata Bandung - 30 Jan 2023, 17:02 WIB

Penulis: Havid Gurbada
Editor: Tim Mata Bandung

Home > News > Nusantara

Rabu 21 Jun 2023 06:35 WIB

Kota Bandung Tertinggi di Jawa Barat dalam Transaksi Elektronik

Peralihan transaksi cukup tinggi di Kota Bandung dimulai sejak pandemi Covid-19.

Red: Nora Azizah

- Digital payment transactions via QRIS grew by **154.86% YoY.**
- Digital transactions in Indonesia reached **3.79 billion** transactions, a growth of **31.5% YoY.**
- In the 2023 Regional Digitalization Acceleration and Expansion Team (TP2DD) Championship, Bandung City achieved a score of **81.26**, ranking **8th** in the Java-Bali region.
- Bandung City **ranks first** in the implementation of **digital transactions** in West Java.

Competition & Business Environment Analysis

Key Financial Players

1. **Banks:**
   BCA, BRI, BNI, CIMB Niaga.
2. **Fintech:**
   Gopay, OVO, Dana, Kredivo.
3. **Microfinance:**
   BTPN Syariah, MBK Ventura, BMT.

Bank Comparison:

	Mandiri	BCA	BNI	BRI	CIMB Niaga
Market Focus	Wholesale, retail, infrastructure, MSMEs	Retail, wealth management, digital banking	Commercial, retail, fintech digital	MSMEs, microfinance, consumer loans	Corporate, retail, wealth management
Digital Platform & Users	Livin' by Mandiri (10M+ downloads)	BCA mobile (50M+ downloads)	BNI Mobile Banking (10M+ downloads)	BRImo (50M+ downloads)	OCTO Mobile by CIMB Niaga (5M+ downloads)
Key Offerings & Features	All-in-one banking + lifestyle products in Livin' by Mandiri, trade finance digital (Kopra), Livin' Merchant for MSMEs	Wealth management, credit cards, premium retail banking	Corporate & retail banking, wealth management, digital onboarding	MSME focus, AgenBRILink, microfinance services	Full banking + lifestyle, open-app, financial check-up
UI/UX	Modern, feature-rich, sometimes complex because of many functions	Fast, stable, clean and simple interface	Improving UI, security-focused	Intuitive, easy to use, strong agent network	Innovative, smooth, biometric security
Customer Experiences	Comprehensive features, large branch support	Reliable and efficient; less lifestyle features	Steady improvements, personalized services	Comprehensive features, large branch support	Popular with younger, tech-savvy users
Challenges/ Weaknesses	App complexity can overwhelm some users	Limited lifestyle or non-banking features, less innovation in app UI	Some users find navigation less intuitive, feature rollout slower than competitors	App stability issues reported, occasional slow performance	App can be complicated, multiple verification steps frustrate users, login and transaction delays reported

Competition & Business Environment Analysis

Service Gaps

Service Gap	Issues in Bandung City	Solutions Bank Mandiri Can Introduce
Digital Financial Inclusion for MSMEs	Many MSMEs underserved areas have difficulty to access digital banking services	Microloan products with easy digital onboarding via Livin' Merchant, debelopment of smart kiosk and digital agents.
Fragmented Digital Payment Ecosystem for MSMEs and Retailers	Many MSMEs and retailers still rely on manual/fragmented payment methods (Pasar Baru, Cihampelas).	Promoting Livin' Merchant as a payment platform that enables merchants to accept QRIS as a digital payment method.
Limited Access to Trade Finance and Export Support	Industrial zones face challenges accessing digital trade finance and complex export procedures.	Promote and digitally onboard exporters to Kopra.
Suboptimal Digital Payroll and Salary Account Solutions	Many medium-sized companies/startups have yet to fully adopt digital payroll solutions (Gedebage, Sukajadi).	Offer fully digital salary accounts linked to Livin', allowing instant salary disbursement, automated savings, salary loans within the app.
Limited Physical Branch Access in High-Density Areas	High-density neighborhoods (e.g. Regol and Arcamanik) have limited access to physical bank branches.	Deploy smart branches and digital kiosks with video banking in high-density areas.

Product Fit & Recommendation

Product Fit

- Education

❑ Livin' by Mandiri: comprehensive banking service for civitas academica.
❑ Kopra: super platform solution that helps educational institutions manage tuition billing and financial transactions.

- High-density Zones and MSMEs Areas

❑ Livin' Merchant: QRIS digital payment for MSMEs.
❑ Livin' by Mandiri: Tabungan NOW for retail savings, KUR.

- Industrial Areas

❑ Livin' by Mandiri: KUR for working capital financing.
❑ Kopra: digital trade finance, cash management for manufacturers.

Product Fit & Recommendation

Product Fit

- Medium Enterprises & Startups Areas

- ❑ Livin' by Mandiri: KUR for enterprises, KSM for employees.
- ❑ Kopra: Mandiri Payroll Online Savings, Mandiri Cash Management.

- Dense Areas with Limited Branches

- ❑ Smart Branch and Digital Kiosk.
- ❑ Livin' by Mandiri: full digital banking services.

Product Fit & Recommendation

Expected Financial Impact

- Hundreds of thousands of new retail customers.
- Tens of thousands of new credit customers.

- Thousands of new MSME customers.

- Hundreds of medium enterprises, startups, and universities

Strategic Recommendations & Action Plan

How Bank Mandiri Should Enter

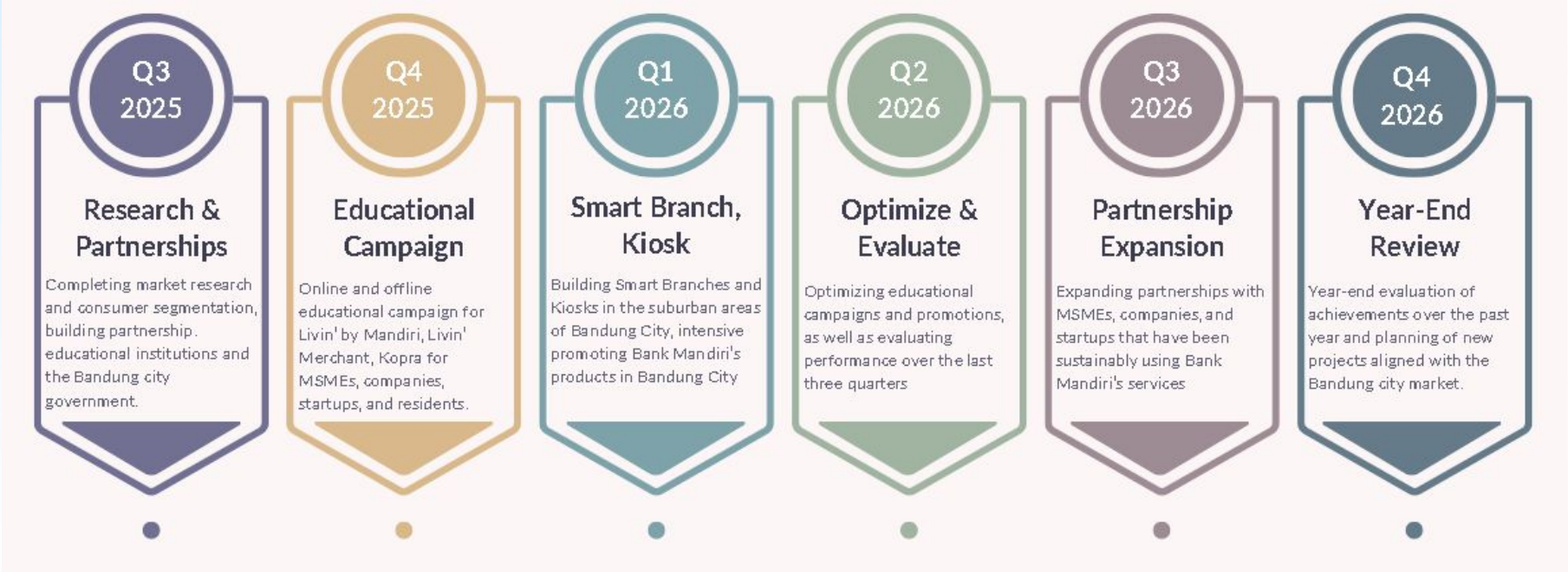
- Strengthen wholesale banking leadership in Bandung City
- Accelerate retail and MSME segment growth with ecosystem-based approach
- Optimize digital platforms and customer experience
- Expand Smart Branch and Digital Kiosk network
- Engage in Strategic Partnerships and Government Programs

Marketing & Engagement Strategies

- B2B Marketing Strategy (Corporates, Institutions, Upper-Mid MSMEs): Relationship management approach.
- B2C Marketing Strategy (Retail and Micro MSMEs): Educational campaign, intensive programs
- Community Engagement Approach: Building Smart Branches and Digital Kiosks, partnership with institutions and governments.

Strategic Recommendations & Action Plan

Project Development Roadmap



Conclusion

Conclusion

Summary of Findings

- Bandung City is one of the cities with the greatest potential for digital economic growth.
- More than 1.9 million Bandung residents are of productive age.
- It ranks first in digital transaction implementation across West Java.

Division of Key Industries in Bandung City

- West Bandung: Trade, financial services, transportation, light manufacturing industry.
- Central Bandung: Creative industries (design, games, fashion), tourism, culinary, education.
- East Bandung: Manufacturing (textiles, food and beverages), logistics, real estate, new industrial areas

Product Fits Across Industries

- Education: Livin' by Mandiri, Kopra
- High-density Zones and MSMEs Areas: Livin' Merchant, Livin' by Mandiri
- Industrial Areas: Livin' by Mandiri, Kopra
- Medium Enterprises & Startups: Livin' by Mandiri, Kopra
- Dense Areas with Limited Branches: Smart Branches, Digital Kiosk, Livin' by Mandiri

Conclusion

Summary of Findings

Finance Service Gaps

- Many MSMEs underserved areas have difficulty to access digital banking services.
- Many MSMEs and retailers still rely on manual/fragmented payment methods.
- High-density neighborhoods (e.g. Regol and Arcamanik) have limited access to physical bank branches.

Future Recommendations:

- Bank Mandiri should strengthen wholesale banking leadership in Bandung City.
- Accelerate retail and SME segment growth with ecosystem-based approach.
- Optimize digital platforms and customer experience.
- Expand Smart Branch and Digital Kiosk network.
- Engage in strategic partnerships and government programs

Conclusion

Final Thoughts

Bandung City is a city with significant economic growth potential, serving as a hub for digitalization and development in the trade and MSME sectors. Bandung presents a strategic opportunity for Bank Mandiri to expand its digital-based services. This will be key to the continuous and inclusive economic growth in Bandung City.

Thank you!

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